



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ECONOMICS

PAPER 1 Multiple Choice

6073/1

1 hour 30 minutes

NOVEMBER 2025 SESSION

Additional materials:
Multiple Choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)
Calculator

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces on the answer sheet provided.

Answer **all** questions. For each question, there are **four** possible answers, **A, B, C** and **D**. Choose the correct answer. Record your choice in **soft pencil** on the separate answer sheet.

Read very carefully the instructions on the answer sheet.

INFORMATION FOR CANDIDATES

There are **forty** questions in this paper. Each correct answer will score **one** mark. Any rough working should be done on this question paper.

A

This question paper consists of 13 printed pages.

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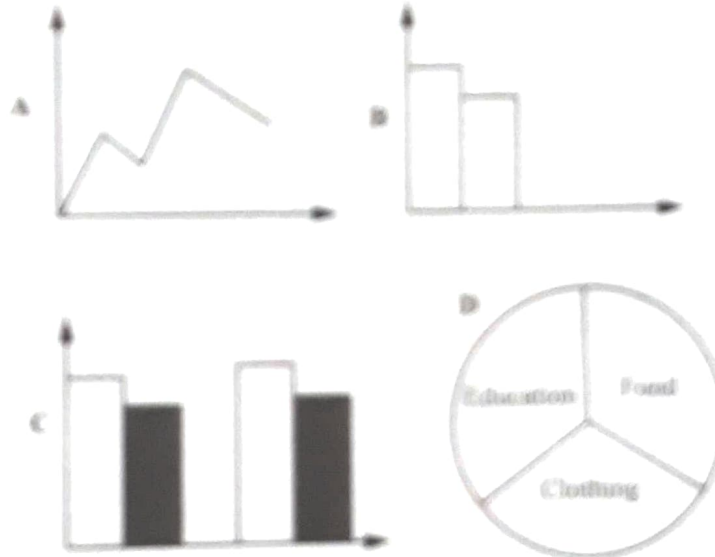


1 Absolute resource inequality may lead to

- A prosperity to all
- B misery to society
- C increase in work efforts
- D improved resource allocation

2 The following diagrams A, B, C or D show methods of data presentation.

Which one is a composite presentation of data?



3 Methods of production will change if the relative price of inputs change. This is the principle of

- A transformation
- B substitution
- C variable proportions
- D diminishing returns

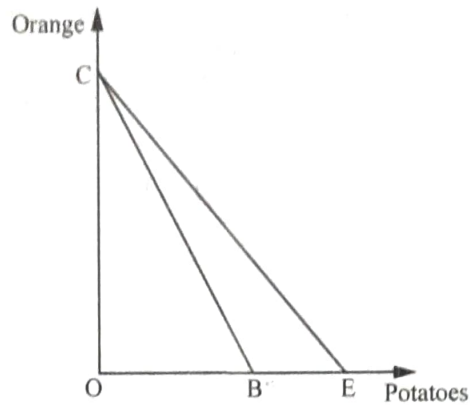
4 Sustainable resources

- A diminish over time
- B cannot be replaced over time
- C have the ability to live longer
- D are categorised into renewable and non-renewable resources

5 The marginal utility which a consumer derives from a good is

- A the utility he derives from consumption of a particular good
- B the change in his total utility as a result of adding one unit to his stock of a good
- C the change in total utility resulting from a change in the price of a good
- D the change in total utility when he buys extra units of a good

- 6 In the diagram below a shift of the budget line from CB to CE is brought about by

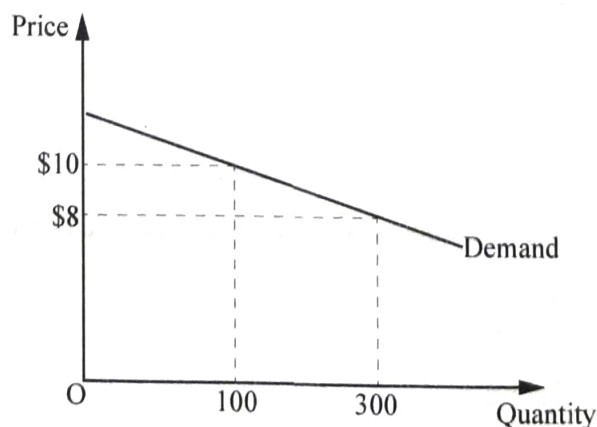


- A a reduction in the price of oranges.
 B an increase in the price of potatoes.
 C an increase in the price of oranges.
 D a reduction in the price of potatoes.
- 7 A consumer wishes to maximise his utility from the purchase of fruit, fish and meat. The current expenditure by the consumer is that, the relationship between price and marginal utility of a unit of each good is shown by the table below.

Commodity	Marginal Utility	Price \$
Fruit	10	12
Fish	40	42
Meat	50	60

What should be done by the consumer to maximise utility?

- A purchase more of fruit
 B purchase more of fish
 C purchase more of meat
 D purchase less of meat, fish and fruit
- 8 The diagram below shows the demand curve for cement.

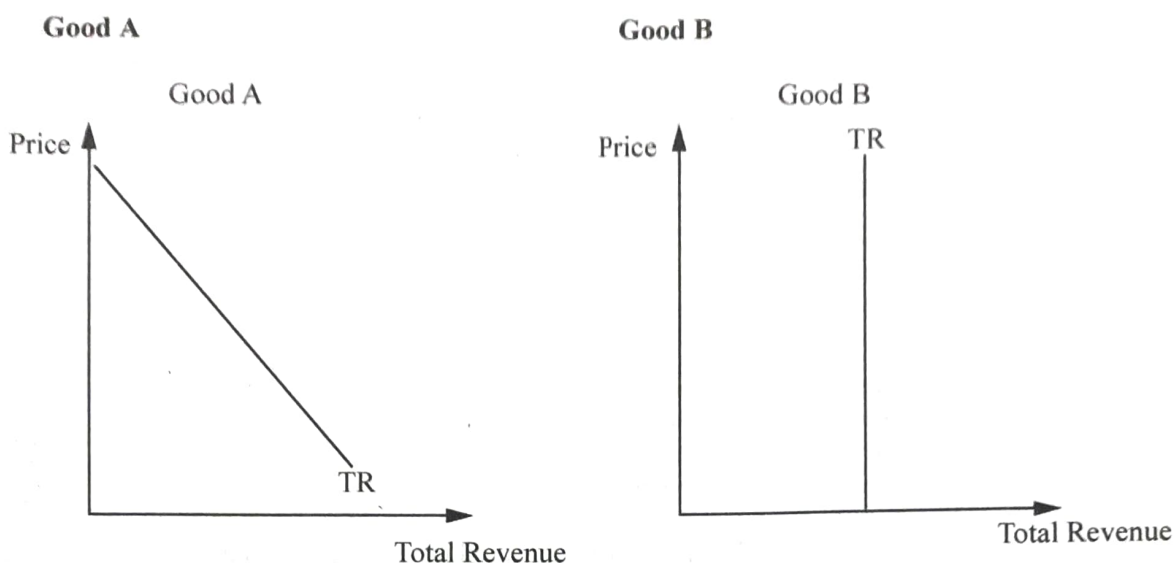


The price elasticity along the demand curve is

- A increasing with a fall in price.
 B decreasing with a fall in price.
 C equal to the ratio of prices.
 D constant through out.



- 9 The diagram below shows total revenue curves for two goods. A and B drawn against the price.



It can be concluded that

- A good A has inelastic demand whilst good B has elastic demand.
 B good A has unitary demand whilst good B has perfectly inelastic demand.
 C good A has perfect elastic demand whilst good B has inelastic demand.
 D good A has perfect elastic demand whilst good B has unitary demand.
- 10 The table below shows the supply and market demand for two firms X and Y.

Supply from X	Supply from Y	Market demand	Price \$
2 200	3 000	8 000	70
2 900	2 000	5 400	60
2 500	3 300	5 800	50
6 500	7 000	8 000	40

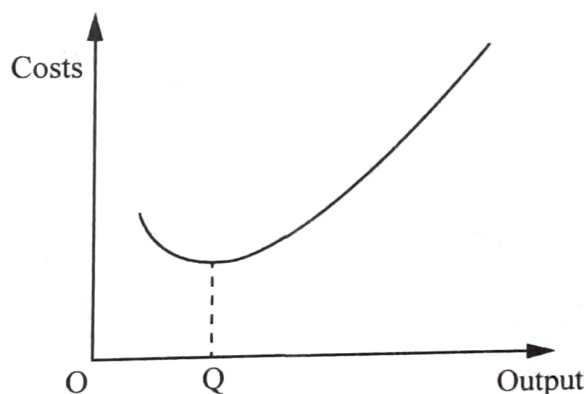
The market equilibrium price is

- A \$40.
 B \$50.
 C \$60.
 D \$70.
- 11 What is the profit maximising condition in a perfectly competitive factor market?

- A $\frac{\text{MRP of labour}}{\text{wage rate}} < \frac{\text{MRP of capital}}{\text{rate of interest}}$
 B $\frac{\text{MRP of capital}}{\text{rate of interest}} > \frac{\text{MRP of land}}{\text{rent of land}}$
 C $\frac{\text{MRP of land}}{\text{rent of land}} = \frac{\text{MRP of enterprise}}{\text{rate of profit}}$
 D $\frac{\text{MRP of enterprise}}{\text{rate of enterprise profit}} = \frac{\text{MRP of labour}}{\text{rate of interest}}$

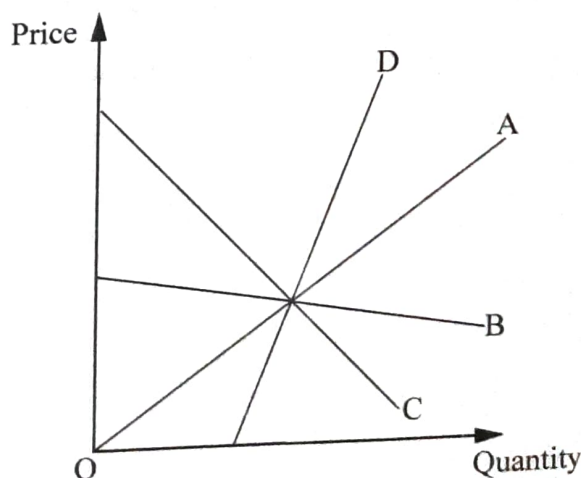


- 12 Income from which no good or service is received in turn is the
- A Quasi – rent.
 - B transfer earnings.
 - C transfer payments.
 - D consumers' net advantage.
- 13 The demand curve for a factor of production is that section of the
- A marginal revenue product curve above the ARP curve.
 - B marginal revenue product curve below the ARP curve.
 - C marginal revenue product curve above the MFC curve.
 - D marginal cost curve above the MRP curve.
- 14 The diagram below shows a firm's short-run marginal cost curve.



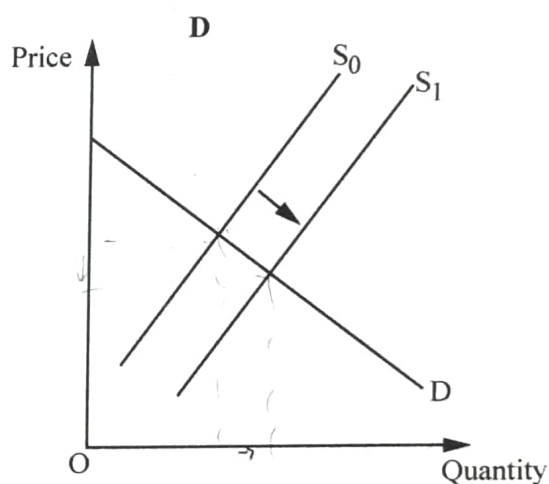
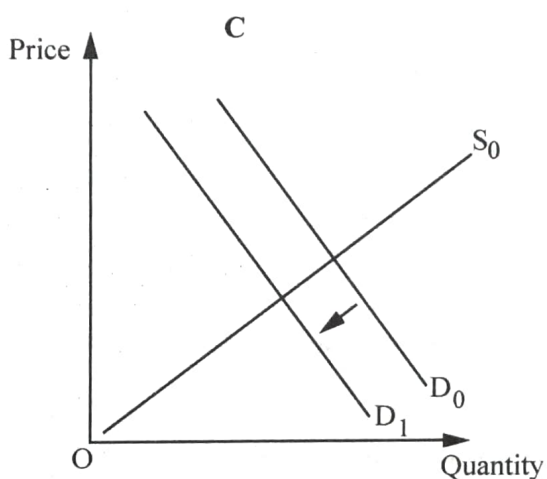
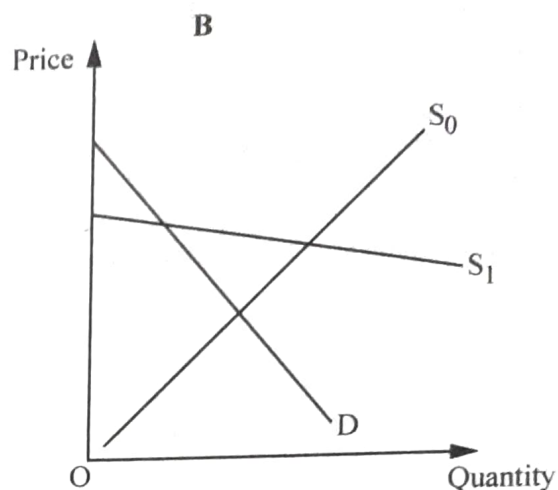
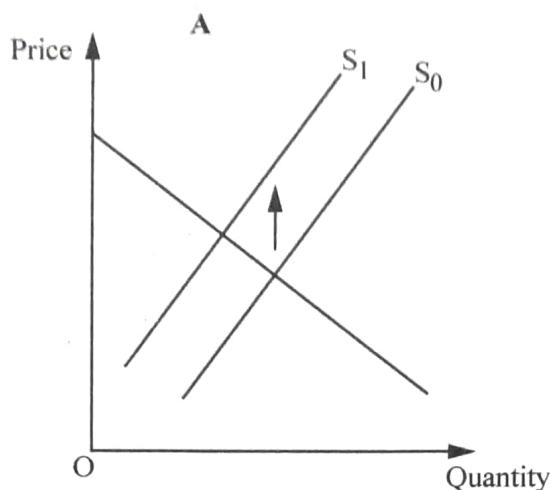
What is the best possible explanation for the upward slope of the curve above OQ?

- A Barriers to entry.
 - B Diseconomies of scale.
 - C Inelastic supply.
 - D The law of variable proportions.
- 15 The diagram shows four supply curves.



Which supply curve A, B, C or D is price inelastic at all levels of output.

- 16 Which diagram depicts the effect to the supply of leather if demand for beef increases.

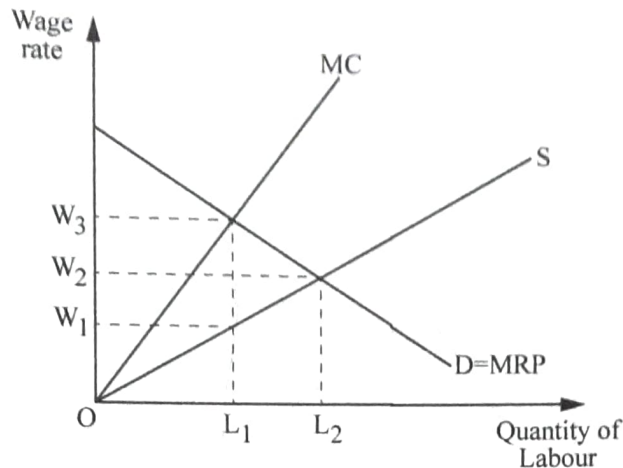


- 17 Quasi rent can be defined as

- A** earnings which are necessary to retain a factor of production in its present use.
- B** earnings which are over and above that which is necessary to keep a factor of production in its present use.
- C** part of factor earnings, which is economic rent in the short run, but transfer earnings in the long run.
- D** part of the factor's earnings which is transfer earnings in the short run, but economic rent in the long run.



- 18 The diagram below represents a monopsony in the labour market.



What is the respective wage rate and quantity of labour employed by the monopsonist shown in the diagram?

- A W_3L_1
- B W_2L_1
- C W_2L_2
- D W_1L_1

- 19 What is the magnitude of economic rent and transfer earnings in a labour market, where supply is perfectly elastic?

	Economic rent	Transfer earnings
A	50%	50%
B	0%	100%
C	100%	0%
D	uncertain	uncertain

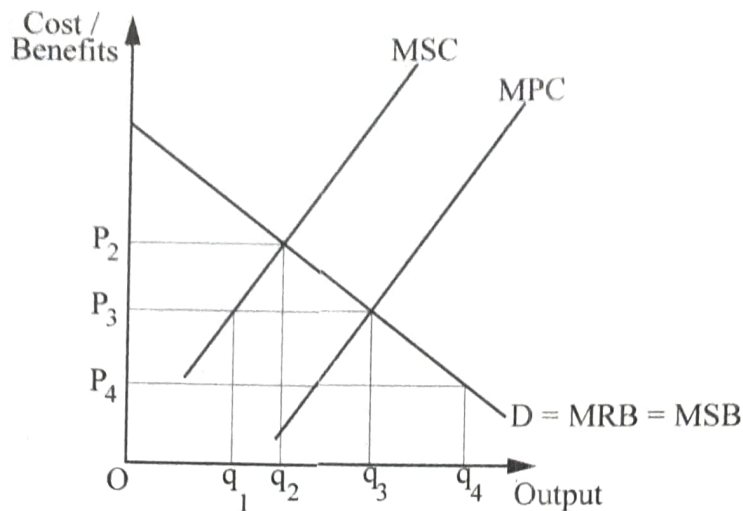
- 20 The dead weight loss from a monopolistically competitive firm is represented by

- A loss of consumer surplus.
- B loss of producer surplus.
- C a rise in cost of production
- D loss of consumer surplus and producer surplus.

- 21 The profit maximising output of a firm occurs at a point where

- A marginal costs curve cuts the marginal revenue curve from above.
- B marginal costs curve intersects with the average cost curve at the minimum of average cost curve.
- C marginal cost curve cuts the marginal revenue curve from below.
- D average costs curve cuts the marginal revenue curve from below.

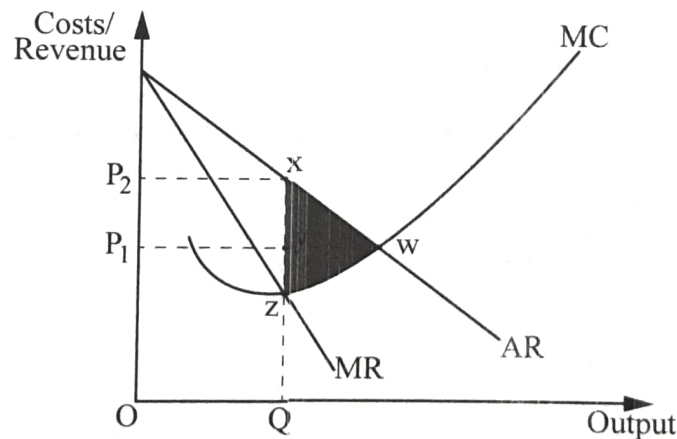
- 22 Use the diagram below to answer the question that follows.



From the diagram above in the absence of government control, output produced will be equal to

- A oq₁.
- B oq₂.
- C oq₃.
- D oq₄.

- 23 The diagram below illustrates costs and revenue by monopoly firm.



The shaded area in the diagram shows

- A abnormal profit.
- B abnormal losses.
- C normal profit.
- D dead weight losses.

- 24 Common property resources suffer from “the tragedy of the commons” for example grazing land. How can the tragedy of the commons problem be rectified?

- A Land Reform Programme
- B imposition of the pigorian tax
- C imposition of production quotas
- D assignment of property rights



- 25 The table shows the index of retail prices for a country on January 1st in successive years.

Year	Retail Price Index
2018 (Base year)	100
2019	80
2020	125
2021	160
2022	60

In which year was the rate of inflation at its highest?

- A 2018
- B 2019
- C 2020
- D 2021

- 26 The table below shows a country's rate of inflation for four years.

Year	Rate of inflation %
2012	5,0
2013	4,0
2014	3,5
2015	3,0

Identify the variable which fell between the years 2012 and 2015.

- A the value of money
- B average prices
- C cost of living
- D the exchange rate

- 27 If the government imposes an *advalorem* tax on imported goods, what will be the effect to the supply curve.

- A It shifts to the left, parallel to original supply curve.
- B It shifts to the left, with a non-parallel shift.
- C It shifts to the right, with a new non parallel supply.
- D It shift to the right, parallel to the original supply.

- 28 An increase in the volume of the country's import is due to

- A a boom in the country.
- B an increase in the country's tariffs.
- C an appreciation of the country's exchange rate.
- D a depreciation of the country's exchange rate.



- 29 The table shows the Price Index numbers for a country's exports and imports.

	Year 1	Year 2
exports	100	88
imports	100	92

The country's terms of trade for Year 2 were

- A 0,04.
 B 4,0.
 C 95,65.
 D 104,5.
- 30 Which of the following functions represents a savings function?

- A $-a + (1 - b)y$
 B $a + (1 - b)y$
 C $-y + a(1 - b)$
 D $y + a(1 - b)$

- 31 An economy has the following national income statistics.

Consumption 100, investment 150, government spending 150, exports 150 and imports 10% of income.

Net exports will be

- A 50.
 B 100.
 C 150.
 D 500.

$$100 + 150 + 150 + 150$$

$$550 + (0,1Y)$$

$$100 + 150 + 150 + (150 - 0,1Y)$$

$$600 - 0,1Y$$

$$400 + 150 - (150 - 0,1Y)$$

$$550 - 0,1Y$$

$$Y = 550 - 0,1Y$$

$$Y + 0,1Y = 550$$

$$1,1Y = 550$$

$$Y = \frac{550}{1,1} = 500$$

- 32 The table below shows levels of income with their relevant levels of consumption.

Period	Level of income	Level of consumption
1	50	35
2	75	55
3	100	70

What is the marginal propensity to consume between periods 2 and 3?

- A 0,50
 B 0,60
 C 0,73
 D 0,75



- 33 The following are motives of holding money by households **except**
- A transitory motive.
 - B speculative motive.
 - C precautionary motive.
 - D transactionary motive.
- 34 The government sets a reserve ratio. A deposit of \$75 000 resulted in money supply increasing by \$600 000.
- Calculate the reserve ratio set by the government.
- A 8%
 - B 10%
 - C 12,5%
 - D 25%
- 35 The reduction of the reserve ratio from 20% to 5%
- A decreases the money multiplier by 15%.
 - B increases the money multiplier by 15%.
 - C increases the money multiplier by 15.
 - D decreases the money multiplier by 15.
- 36 The Zimbabwean government sets a fixed parity for its currency against other currencies. Resultantly the government will lose control over
- A rates of tax.
 - B the money supply.
 - C tariff rates on imported goods.
 - D the level of government expenditure.
- 37 If Zimbabwe would want to reduce a balance of payment without causing inflation, it would employ the policy of
- A reducing government spending.
 - B devaluing the exchange rate.
 - C increasing import tariffs.
 - D increasing indirect taxes.
- 38 An economy seeking to increase the natural rate of unemployment can adopt the following policy
- A decreasing income tax.
 - B decreasing the rate of interest.
 - C increasing unemployment benefits.
 - D increasing labour market flexibility.
- 39 Gross Domestic Product per capita (per capita income) can be calculated by the following measure of central tendency
- A GDP deflator.
 - B mean.
 - C mode.
 - D median.



40 Crowding out effect is

- A the reduction in private firm investment.
- B the reduction in all investment.
- C reduction in private firms investment due to public expenditure.
- D reduction in private firm's investment due to market forces.



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